

AUDIT INVESTIGATION REPORT

Investigation No. INV-00449 | Type: Fraud Investigation

Investigation ID:	INV-00449
Investigation Type:	Fraud Investigation
Status:	COMPLETED
Trigger Source:	Routine audit sampling
Lead Investigator:	Kim Houston (EMP-23965)
Subject Employee:	Lisa Green (EMP-15972)
Related Vendor:	InnoCore Dynamics Holdings (VND-00860)
Related Transaction:	TXN-403282
Scope Period:	2021-11-06 to 2023-03-01
Created Date:	2025-02-06
Completed Date:	2025-07-06
Outcome:	SUBSTANTIATED

1. AUDIT QUESTION

"Which audit findings are supported by multiple independent evidence sources?"

2. BACKGROUND

This investigation was initiated following a routine audit sampling relating to activity associated with employee Lisa Green (EMP-15972) and vendor InnoCore Dynamics Holdings (VND-00860). The investigation scope covers the period 2021-11-06 to 2023-03-01 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-403282 (amount 15,398.06 USD, risk score 0.29). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-000157	MEDIUM	POLICY BREACH	Entertainment expense of \$486,134 submitted by EMP-43195 exceeds monthly policy allowance of \$100,000.
FND-004681	LOW	EXPIRED COMPLIANCE	Procurement team processed payment without checking compliance status. Certificate had been expired for 103 days.
FND-000056	MEDIUM	EXPIRED COMPLIANCE	Procurement team processed payment without checking compliance status. Certificate had been expired for 246 days.

5. CONCLUSION

Based on the evidence reviewed, the allegations underlying this investigation are **SUBSTANTIATED**. The control breakdown identified poses a medium risk to the organisation and requires remediation.

6. ACTIONS TAKEN

- Vendor contract flagged for non-renewal upon expiry.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Kim Houston	EMP-23965	2025-07-06